Iraq: Higher oil exports bring short-term relief

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Increased oil exports will give Iraq short-term fiscal relief

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The increase in Iraq's oil exports since June will ease Baghdad's fiscal distress and allow the government to continue paying public-sector wages in the short term.
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Meanwhile, the government will fail to meet its 30 September deadline for disarming Shia militias, allowing continued attacks on Gulf Cooperation Council (GCC) countries, and frustrating Baghdad's efforts to attract FDI from them.
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However, Iraq's cooperative attitude toward the US, including on tightening the economic noose around Tehran, will likely dissuade Washington from imposing major new sanctions on Baghdad for missing the disarmament deadline.

The partial resumption of oil exports will ease Baghdad's near-term fiscal distress. Iraqi oil exports have gradually climbed since the June US-Iran deal. In late August, Tehran granted exceptional transit permits for several Iraqi oil tankers to navigate the Strait of Hormuz following requests from Baghdad. Iraq is therefore offering buyers crude supplies outside Hormuz for the first time since the war began.

An increase in oil revenue, which accounts for 90% of Iraqi public revenue, will soften fiscal distress and delay a possible failure to pay public sector wages, a risk Iraqi officials have warned about since the war and Hormuz disruptions began. Iraq's foreign exchange reserves dropped from $102 billion at the end of February, when the war began, to $86.2 billion at the end of June as oil revenue collapsed. According to an August estimate by Iraq's Parliamentary Finance Committee, reserves can still allow Baghdad to cover public sector wages and pensions in full for at least 10 more months, despite repeated delays in recent months.

Iraq would likely seek IMF assistance if oil export disruptions deepened through 2026. Iraq reportedly approached the IMF to secure financial support last May amid the closure of the Strait of Hormuz. The government quickly dropped that effort in June after the US-Iran deal that temporarily reopened Hormuz and signaled the resumption of oil exports. If hostilities escalate from the current standoff, further disrupting Iraqi oil exports through the end of the year, Baghdad will likely have to seek IMF assistance again (see: Standoff now likely to run through 2026 as Hormuz traffic increases , 01 September 2026).

Zaidi will delay requesting IMF support for as long as possible. He hopes that a new or reinstated US-Iran deal will reopen Hormuz or that Iran will grant further exemptions that allow Iraq to export more oil. His government will seek to avoid unpopular IMF conditions, including currency devaluation or austerity measures such as deep spending cuts, especially to public wages, pensions, and transfers, which account for 72.7% of public spending.

Militia integration remains distant as the government struggles to enforce September deadline. The Iraqi government will fail to deliver on its self-imposed 30 September deadline for integrating or disarming the country's powerful Shia militias into the security apparatus despite mounting pressure from the US and the GCC (see: Iraq gives Trump what he wants on militias and oil, for now , 02 July 2026). The government lacks the strength and resolve to force the militias—especially those aligned with Iran's Islamic Revolutionary Guard Corps (IRGC), such as Kataib Hezbollah and Harakat al-Nujaba—to integrate or disarm. Instead, authorities are likely to engage in limited or symbolic action like the raid on an IRGC-led Shia militia drone-manufacturing facility in late August. Officials have already backtracked on their commitment to the September deadline. In late August, Qasim al Araji, the security adviser of Prime Minister Ali Zaidi, said that 30 September is not a deadline for militias to disarm, but merely the date of US troops' withdrawal.

Major sanctions on Iraq remain unlikely. Despite missing the deadline for militia integration and disarmament, marginal progress in this area, as well as cooperation with the US on other issues such as tightening the economic noose around Tehran, will likely dissuade Washington from imposing major new sanctions on Baghdad for now. In particular, the US is unlikely to withhold access to dollars at the Federal Reserve, which would deepen Iraq's fiscal distress, even as Washington continues to sanction Shia militia and militia-aligned figures. However, delays in the militia integration and disarmament process could stall the US troop withdrawal.

Militia threat to GCC states will persist, frustrating Baghdad's efforts to attract FDI. Iraq faces growing pressure from GCC countries, particularly Saudi Arabia, to stop the attacks on their territories by IRGC-led Shia militias. In response, Baghdad has reportedly established the Badia Operations Command to take over positions along the Saudi border previously held by Popular Mobilization Forces brigades—the Iraqi state entity that formally oversees these militias—and deployed several army brigades along the Saudi border to reassure Riyadh of its commitment to border security.

These efforts could hamper militia attacks on Saudi Arabia and other GCC countries–reportedly in coordination with the Houthis, which are believed to participate in a joint operations room with these militias inside Iraq– but not deter them altogether (see: Intensifying Saudi-Houthi conflict still likely to fall short of all-out war , 01 September 2026). The Iraqi government is unwilling to militarily confront these groups, which are threatening to fight back: In Mid-August, Kataib Hezbollah threatened retaliation if the government moves against its members. Militia attacks will remain a point of tension in GCC-Iraq relations, frustrating Baghdad's efforts to attract Gulf FDI.

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